

**JUSTIFICATION FOR OTHER THAN FULL AND
OPEN COMPETITION (OTFAOC)**

Federal Acquisition Regulation (FAR) Part 6 Justification & Approval (J&A), Supporting
Procurements under FAR Part 12, FAR Part 15

Purchase Request Number: 612166288

Contract/Agreement Number: To Be Determined

Task/Delivery Order Number: Not Applicable

Procurement Title: Washington Metropolitan (Metro) Area Transit Authority (WMATA)
SmartBenefits Program

Estimated Value: [REDACTED]

Statutory Authority: 10 U.S.C. 2304(c)(1)

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION (OTFAOC)

Justification for OTFAOC Number: JA22-016

Upon the basis of the following justification, I, as the Procuring Activity Competition Advocate, hereby approve the use of other than full and open competition of the proposed contractual action pursuant to the statutory authority of 10 U.S.C. 2304(c)(1) and in accordance with FAR 6.302-1.

1. REQUIRING AGENCY AND CONTRACTING OFFICE:

Requiring Agency:

Defense Information System Agency (DISA)

Workforce Services and Development Directorate (WSD)

P.O. Box 549

Ft. Meade, MD 20755

Contracting Activity:

Defense Information Technology Contracting Organization (DITCO)

National Capital Region (NCR)

Acquisition Resources Contracting Branch (PL61)

P.O. Box 549

Ft. Meade, MD 20755

2. NATURE/DESCRIPTION OF ACTION(S): This Justification and Approval (J&A) supports the action to issue a sole source award to the incumbent, The Washington Metropolitan Area Transit Authority, to support the mission requirements of The Mass Transit Subsidy Benefits program. For mass transit in the Washington DC area, the required source is the SmartBenefits program. SmartBenefits is a web-based program and the sole program for transferring benefits from employers to employees utilizing mass transit in the Washington DC metropolitan area. The Department of Transportation (DOT) uses this program to ensure that funds are available for the active participants each month. WMATA requires federal agencies to use SmartBenefits, as the primary means of providing transit benefits. The benefit is for commuting between the participant's residence and workplace.

The current agreement, HC1047-19-A-0001, is a Basic Ordering Agreement (BOA). This action will be issued as a blanket purchase agreement for a three-year period. WMATA is the transit authority for the NCR and does not hold any GSA schedules. The expected cost of this action will not exceed [REDACTED] over the three-year agreement period. This agreement is required for the Mass Transit Subsidy Program, an entitlement program for federal employees.

This agreement provides DISA the ability to eliminate third party costs associated with our participation in the SmartBenefits program. In the past, DISA had Department of Transportation (DOT) award and manage this program. By utilizing DOT's services to procure and acquire SmartBenefits DISA was paying a seven percent fee in addition to the costs for the SmartBenefits.

3. DESCRIPTION OF SUPPLIES/SERVICES: The SmartBenefits is the required program for the Department of Defense National Capital Region Mass Transit Benefits subsidy program. Washington Metro Area Transit Authority is the required source and the only organization with the qualifications and capabilities to perform the master database functions that are required for operating the SmartBenefits program. There are no other organizations that are either eligible or capable of performing the master database function that WMATA provides.

The current agreement was awarded as a BOA on 12 January 2019. The base period of performance was 12 January 2019 through 11 January 2020 and two 12 month option periods. The last option was exercised 12 January 2021 and expires on 11 January 2022. The ceiling for the current BOA is [REDACTED]. However, the volume of purchases, in part due to the COVID 19 Pandemic, for the current agreement has not exceeded [REDACTED]. The ceiling on the BOA provided the flexibility to add additional participants if the need arose (new employees and participants, etc.).

WMATA offers parking and transportation as part of their SmartBenefits program. DISA has elected not to participate in the parking program in the past years. On 18 December 2015, the parity between parking and mass transit benefits was reinstated permanently under the Consolidated Appropriations Act, 2016, Protecting Americans From Tax Hikes (PATH) Act, Division Q which automatically includes parking benefits in the transit benefits program beginning in 2016.

The cost of this procurement is based on the size of the DISA workforce that is eligible and elects to participate in the SmartBenefits program. At the present time there are 191 active mass transit benefit participants, down from approximately 650. This number fluctuates based on the time of year, locations from which and to which employees commute, eligibility of employees and the future participation by new employees or withdrawal from the program by current employees, as well as the continued telework posture of the agency due to the COVID 19 Pandemic. The participant level will be established at 600 employees as this BPA will cover 3 years and it is not known how many individuals will be required to report to their physical duty station vice telework. The mass transit monthly limit is currently [REDACTED] with permanent parity between parking and mass transit monthly limits for 2022. The authorized transit benefit maximum is determined by Congress and that amount is specifically defined in Title 26 U.S.

Code, § 132 (f)(2). If the authorized amount is changed, the agreement ceiling will be adjusted to cover the cost of those changes (whether an increase or decrease of cost occurs).

The BOA ceiling capacity is determined as follows:

	Year 1	Year 2	Year 3
Period	12 Jan 2022 to 11 Jan 2023	12 Jan 2023 to 11 Jan 2024	12 Jan 2024 to 11 Jan 2025
Estimated Participants	600	600	600
Cost per Month per Participant	██████	██████	██████
Cost per Year per Participant	██████	██████	██████
Estimated Annual Total	████████	████████	████████
Total Ceiling	████████████████████		

4. IDENTIFICATION OF STATUTORY AUTHORITY: Pursuant to FAR 6.302-1 only one responsible source and no other supplies or services will satisfy agency requirements, 10 U.S.C.2304(c) (1).

5. DEMONSTRATION OF CONTRACTOR’S UNIQUE QUALIFICATIONS:

(a) Description of events.

For mass transit in the Washington DC area, the required source is the SmartBenefits program. SmartBenefits is a web-based program, and the sole program for transferring benefits from employers to employees utilizing mass transit in the Washington DC metropolitan area. The WMATA is the required source for the Mass Transit and the only organization authorized to manage the database of the SmartBenefits program. There are no other organizations that are either eligible or that have the authorization, access, or capabilities to perform the master functions connected to the SmartBenefits program. WMATA is the only organization who can electronically transfer electronic SmartBenefits payments to WMATA Metro transit providers. The SmartBenefits program is provided by WMATA for commuters in the National Capital Region.

(b) Justification.

(1) Minimum Government requirements. The WMATA was created by interstate compact, authorized by the United States Congress, and jointly funded by the District of Columbia with jurisdiction in suburban Maryland and northern Virginia. The program offers electronic auto load and reloadable capabilities for employers to assign value to Smart Trip cards for the employees authorized to participate in the SmartBenefits mass transit program. There are no other organizations that are either eligible or capable of performing WMATA functions for the SmartBenefits Program.

(2) Proposed sole source contractor. WMATA established a commuting system throughout the Washington D.C. Metropolitan (Metro) Area, including the states of Virginia and Maryland. WMATA, not only manages the SmartBenefits Program, but

regulates the fare machines, databases, and bus and rail systems used in the program as well. The SmartBenefits Program allows the employers to allocate the dollar value of employees' monthly commuting benefit directly to reusable and rechargeable plastic SmarTrip cards that can be used for rail and bus travel throughout the Metro regions. WMATA is the only organization with the capability to provide SmartBenefits program participants with the required access to use Metro (WMATA) commuting stations established throughout the NCR.

- (3) Discussion regarding cause of the sole source situation. WMATA is the only organization with the capability to provide DISA employees with access to the SmartBenefits Program that is interconnected to the transit system that largely supports commuters within the NCR.
- (4) Demonstration of unique source. The SmartBenefits Program is operated and controlled through WMATA, including the extensive real estate involved in the support of its Metrorail and Metrobus operations. There are no other organizations that are either eligible or capable of performing the master database and transit functions that are connected to the services provided by WMATA for commuters in the NCR.
- (5) Procurement discussion. WSD is in the process of planning for the execution of a sole source follow-on procurement for this requirement. The WMATA agreement is the only solution for DISA to continue with the SmartBenefits program in support of employees who commute to and from work using WMATA's Metrorail and Metrobus operations. WMATA was awarded a sole source agreement on 12 January 2019 and the current and last option year expires on 11 January 2022. As described herein, competition is not possible in the procurement of the SmartBenefits Program for DISA employees.
- (6) Impact. It is not possible to pursue full and open competition as this is a required source. Additionally, there is no other organization capable of administering the SmartBenefits Program. The WMATA is the only one responsible source and no other supplies or services will satisfy agency requirements. There is no other alternative than the exception to full and open competition.

6. CONTRACTING OPPORTUNITIES ANNOUNCEMENT/POTENTIAL SOURCES: None at this time.

7. DETERMINATION OF FAIR AND REASONABLE COST: The monthly amount needed per person is the current transit benefit subsidy maximum. Congress is responsible for determining the monthly transit benefit subsidy maximum which was initially [REDACTED] when the mass transit benefit program was established by Executive Order 13150 in 2000. The monthly maximum was incrementally increased to [REDACTED] in 2002, [REDACTED] in 2005, [REDACTED] in 2007, [REDACTED] in 2008, and then as a result of legislation in the American Recovery and Reinvestment Act (ARRA) in 2009, the maximum increased to [REDACTED] and again to [REDACTED] in 2012. After the sunset of the ARRA, in 2013 the transit benefit maximum reverted to [REDACTED], and then in 2014 it was

increased to [REDACTED]. The Consolidated Appropriations Act, 2016, signed on 18 December 2015 equalized the parking and mass transit benefits program, resulted in an increase of the mass transit monthly limit for each participant from [REDACTED] to [REDACTED]. The SmartBenefits subsidy maximum for the requirement is currently set to cost [REDACTED] per person through the end of the calendar year 2021. The new BPA will start on January 12, 2022, with the maximum of [REDACTED] per person. Any future changes to the subsidy maximum will be determined by Congress. If the maximum increases more than that, it is anticipated the agreement ceiling will be increased to cover this. The costs paid will be set by Congress and are not subject to negotiations. They are in line with the transit benefit subsidy maximum authorized and approved by Congress. The WMATA transit system as a whole is authorized by the United States Congress, and is jointly funded by the District of Columbia, together with jurisdictions in suburban Maryland, northern Virginia, and parts of Delaware, West Virginia, and Pennsylvania. WMATA was created by to be tri-jurisdictional and is not-for-profit. WMATA is prohibited from receiving any fee or profit, as they are a not-for-profit transportation authority. They are the area transportation authority and manage all major transportation hubs in the NCR and surrounding areas. Based on the foregoing, the Contracting Officer has determined the costs are fair and reasonable.

8. MARKET RESEARCH: Market research was conducted for the follow-on requirement and the results are that full and open competition is not appropriate for the action. The WMATA is a tri-jurisdictional organization authorized by Congress to operate the transit service in the Washington, D.C. metropolitan area. The WMATA is a large not-for-profit business that provides the SmartBenefits Program as a commercial service to private and federal entities across the NCR. The SmartBenefits Program offers electronic payment for the employees authorized to participate in the mass transit program using re-loadable Smart Trip cards. Historically, DISA worked through the Department of Transportation (DOT) to acquire SmartBenefits participation, but DISA was charged a seven percent fee by DOT. DISA reduced costs and has saved approximately [REDACTED] in contracting fees by eliminating DOT as a third party for participation in the program.

Although there are other commuter systems that provide means of transportation, such as the Maryland Transit Authority (MTA) and Amtrak services, they do not provide commuting services that are capable of accommodating commuters throughout the NCR region. The MTA and Amtrak services that are provided are only able to transport commuters to strictly Maryland areas, or limited locations in the tri-state region and have their own mass transit subsidy programs to pay for the benefits of the areas they serve. WMATA is capable of transporting commuters across the entire tri-state region, via Metrorail and Metrobus commuter locations and those services are largely connected to the SmartBenefits program. WMATA is the only capable source for meeting the needs of the government's requirement. There is no consolidating or bundling of task orders or other contracts for this follow-on procurement.

9. ANY OTHER SUPPORTING FACTS: The WMATA is the only responsible source, no other supplies or services will satisfy the agency requirements for the follow-on.

10. LISTING OF INTERESTED SOURCES: No other sources have been identified.

11. ACTIONS THE AGENCY MAY TAKE TO REMOVE OR OVERCOME BARRIERS THAT LED TO THE EXCEPTION TO FULL AND OPEN COMPETITION:

(a) Procurement History:

Contract: HC1047-19-A-0001

Contractor: WMATA

Basis for Award: Sole Source, OTFAOC

Value: [REDACTED]

Period of Performance: 12 January 2019 to 11 January 2022 (Base plus Three-Option Years)

Contract: HC1047-16-A-0001

Contractor: WMATA

Basis for Award: Sole Source, OTFAOC

Value: [REDACTED]

Period of Performance: 12 January 2016 to 11 January 2019 (Base plus Three-Option Years)

Contract: HC1047-12-G-4001

Contractor: WMATA

Basis for Award: Sole Source, OTFAOC

Value: [REDACTED]

Period of Performance: 12 January 2012 to 11 January 2016 (Base plus Four-Option Years)

Department of Transportation (DOT)

Contract: Intra-Agency Agreement (MOA)

Contractor: Washington Area Metro Authority (WMATA)

Basis for Award: Economy Act of 1932 (15 U.S.C. 1535) and Administrative Working Capital Fund (49 U.S.C 327)

Value: [REDACTED]

Period of Performance: 1 October 2008 to 11 January 2012

- (b) Market Research will continue to be conducted to examine and monitor the changes within the public transportation industry in the NCR.
- (c) In accordance with FAR 6.302-1 only one source is capable of providing the supplies or services required at the level of quality required. Within 14 days after establishing the WMATA BPA this justification will be posted to Sam.gov. Further, WMATA is capable of transporting commuters across the entire tri-state region via Metrorail and Metrobus commuter locations and those services are largely connected to the SmartBenefits program. At this time the Government is not aware of another transit authority in the Washington Metropolitan Area that offers a program similar to SmartBenefits on a transit network that transports commuters across the Metropolitan Area.

TECHNICAL CERTIFICATION: I certify that the supporting data under my cognizance which are included in the J&A are accurate and complete to the best of my knowledge and belief.

NAME: Carey E. Mantici

SIGNATURE: [REDACTED]

TITLE/ORGANIZATION: Transportation Specialist/Program Manager (RM/MP4)

PHONE: [REDACTED]

DATE:

REQUIREMENTS CERTIFICATION: I certify that the supporting data under my cognizance which are included in the J&A are accurate and complete to the best of my knowledge and belief.

NAME: Martin Reed

SIGNATURE: [REDACTED]

TITLE/ORGANIZATION: Chief of Travel and Transportation (RM/MP4)

PHONE: [REDACTED]

DATE: 5 Jan 22

CONTRACTING OFFICER CERTIFICATION: I certify that this justification is accurate and complete to the best of my knowledge and belief.

NAME: Michelle Bontempo

SIGNATURE: [REDACTED]

TITLE/ORGANIZATION: PSD/PL61

PHONE: [REDACTED]

DATE: 6 Jan 22

PROCURING ACTIVITY COMPETITION ADVOCATE APPROVAL: I have reviewed this justification and find it to be accurate and complete to the best of my knowledge and belief. Since this justification does not exceed [REDACTED], this review serves as approval and my written determination that the aforementioned FAR circumstances apply.

NAME: Gay Arnold

SIGNATURE:

TITLE/ORGANIZATION: Procuring Activity Competition Advocate/DISA

PHONE: [REDACTED]

DATE:

ALL QUESTIONS REGARDING THIS JUSTIFICATION ARE TO BE REFERRED TO Michelle Bontempo, [REDACTED], [REDACTED]